

collapsing, she believed the rise was at an end. “I pulled the plug on the operation at 16.75,” shown as point D in the figure, when price pierced an up trendline from the bowl low (not shown, but it begins in January 1996 and hugs the minor lows going upward toward D).

In the short term, Kristy was right in that price headed lower. It moved down until reaching the low of the bowl but then rebounded. By mid-June, the stock had nearly doubled, reaching a high of 28.75, 10 points above the target price of 18.75. Even so, on her 1,000 shares, she cleared almost \$1,500 on the trade.